GOVERNMENT OF ANDHRA PRADESH

ABSTRACT

ITE&C Department – Promotion Wing - Andhra Pradesh Electronics Manufacturing Policy (4.0) 2024-29– Operating Guidelines for Implementation – Orders – Issued.

INFORMATION TECHNOLOGY, ELECTRONICS & COMMUNICATIONS (PROMOTIONS) DEPARTMENT

G.O.Ms.No. 13 Dated: 06.05.2025

Read the following:

1. G.O.Ms.No. 5, IT,E&C (Promotions) Department, dated: 30.10.2024
2. G.O.Ms.No. 4, IT,E&C (Promotions) Department, dated: 24.03.2025
3. G.O.Ms.No. 8, IT,E&C (Promotions) Department, dated: 25.04.2025
4. eFileNo.:ITC01-ELEC0ELEC(RMAT)/12/2024-PROMOTIONS(C.No.2584742) Operating Guidelines for Implementation Electronics Manufacturing Policy of ITE&C Dept., Government of Andhra Pradesh

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ORDER:

In the reference 1, the Government issued the Andhra Pradesh Electronics Manufacturing Policy (4.0) 2024-29, aims to increase electronics production in the state to USD 50 billion (INR 4.2 lakh crores) by the end of the policy period. It also targets attracting investments worth USD 10 billion (INR 84 thousand crores). Additionally, it aims to create 5 lakh first-time jobs in the electronics manufacturing sector during the policy period.

2. In the reference 2, the Government of Andhra Pradesh established a detailed and structured workflow to facilitate the effective implementation of the Andhra Pradesh Electronics Manufacturing Policy for the period 2024–2029. This comprehensive framework outlines the procedures, roles, and responsibilities to ensure the successful execution of the policy's objectives.

3. In the reference 3, the Consultative Committee for the Information Technology and Electronics Industry (CCITEI) is restructured to effectively implement policies and address issues related to IT, ITeS, electronics, and start- ups. The re-constituted committee will serve as a platform for policy discussions, regulatory support, and industry growth, ensuring alignment with broader economic and technological goals. It will also streamline proposal evaluations and oversee the efficient, timely, and transparent disbursement of incentives.

4 . The Government hereby accords approval for the Operating Guidelines for Andhra Pradesh Electronics Manufacturing Policy (4.0) 2024-29 , as enclosed to these orders.

5. In the reference 4, this order is issued with the concurrence of the Finance (Finance U.O.No.FIN01-FMU0PC(IC)/16/2025, (C.No.2789128)) Department.

(BY ORDER AND IN THE NAME OF THE GOVERNOR OF ANDHRA PRADESH)

BHASKAR KATAMNENI
SECRETARY TO GOVERNMENT

To:

To: All the Departments of Secretariat
The Secretary to Govt., Industries & Commerce Department, Government of Andhra Pradesh
The Commissioner and I.G., Stamps and Registration
The Vice Chairman and Managing Director, APIIC, Mangalagiri The
Director, Industries& Commerce, Andhra Pradesh
The Commissioner, Information and Public Relations, Andhra Pradesh The
Member Secretary, A.P. Pollution Control Board, Andhra Pradesh
The Chairman & MD, AP TRANSCO
The Managing Director, APCPDCL/EPCPDCL /SPCPDCL
The Commissioner, Labour, Andhra Pradesh
The Vice Chairman, VUDA/TUDA/VGTMUDA
All the District Collectors & Magistrates, Andhra Pradesh
All the Municipal Commissioners, Andhra Pradesh
The Managing Director, APTS, Vijayawada
The Development Commissioner, VSEZ, Visakhapatnam
The Director, STPI, Andhra Pradesh
The CEO, APEDB

Copy to:

The Secretary, Ministry of Electronics & Information Technology (MeitY) Government of India
The Chief Minister's Office, Government of Andhra Pradesh
The PS to Chief Secretary to Government of Andhra Pradesh
The PS to Prl. Finance Secretary, Government of Andhra Pradesh
The OSD to Minister for HRD, IT,E&C, RTGs, Government of Andhra Pradesh
The PS to Minister for Finance, Government of Andhra Pradesh
The PS to Minister for Revenue, Government of Andhra Pradesh
The PS to Minister for MA&UD, Government of Andhra Pradesh
The PS to Minister for Energy, Government of Andhra Pradesh
The PS to Minister for Labour, Government of Andhra Pradesh
The PS to Secretary Planning Department, Government of Andhra Pradesh

//FORWARDED :: BY ORDER//

SECTION OFFICER

ANNEXURE

(Annexure to G.O.Ms.No.13, ITE&C(Prom Wing) Dept., dated:06.05.2025)

Operating Guidelines of

Andhra Pradesh Electronics Manufacturing Policy (4.0) 2024-29

A. SECTION A

1. INTRODUCTION

The global Electronics System Design and Manufacturing (ESDM) sector is experiencing rapid growth, driven by advancements in technologies such as 5G, IoT, AI, and autonomous systems. The increasing demand for sophisticated electronic devices has spurred innovation and investment in design and manufacturing worldwide. Asia-Pacific continues to dominate the sector, with countries like China, Japan, South Korea, and Taiwan leading in electronics production. The global semiconductor shortage has emphasized the need for resilient supply chains, prompting governments and companies to invest in local manufacturing.

India is emerging as a key player in the global ESDM landscape, supported by initiatives like "Make in India," the Production Linked Incentive (PLI) scheme, and the Indian Semiconductor Mission (ISM). These policies have attracted significant investments, strengthening domestic manufacturing and supply chain capabilities. With a skilled workforce, a thriving startup ecosystem, and increasing demand for consumer and automotive electronics, India is well-positioned to become a global ESDM hub. Notably, electronics exports have surged, reaching USD 29.11 billion in FY 2024, reflecting India's growing competitiveness in the international market.

Andhra Pradesh is establishing itself as a premier destination for ESDM investments in India. The state offers strategic advantages, including a coastal location, world-class infrastructure, and a strong industrial base. Key cities such as Visakhapatnam, Tirupati, Nellore, Sricity, Kadapa, and Anantapur host dedicated electronics manufacturing clusters. The state's skilled workforce, competitive operational costs, and proactive government policies provide an attractive ecosystem for investors. Additionally, Andhra Pradesh's logistics network, featuring well-connected ports, airports, and the Visakhapatnam-Chennai Industrial Corridor (VCIC), enhances its export potential, further solidifying its position as a leading electronics manufacturing hub.

Andhra Pradesh Electronics Manufacturing Policy (4.0) 2024-29 aims to attract foreign direct investments, which bring heavy capital investments, add local value, and encourage companies to generate huge employment opportunities. This document serves as a comprehensive guide for investors, detailing the procedures for availing various incentives and the mechanisms for policy implementation.

2. DEFINITIONS

2.1. ELECTRONICS MANUFACTURING POLICY (4.0) 2024-29

Electronics Manufacturing Policy (4.0) 2024-29 means, the policy of state incentives/facilities announced by the state government vide G.O.Ms.No.5, Information Technology Electronics & Communication department, dated 30.10.2024 and amendments thereof.

2.2. NODAL/IMPLEMENTING AGENCY FOR POLICY

S.No	Policy	Abbreviation	G.O.No.	Validity Dates
1	Electronics Manufacturing Policy (4.0) 2024-29	EMP 4.0	5	30.10.2024 to 29.10.2029

- This Policy shall be valid for 5 years from the date of the policy notification, or till a new Policy is announced, whichever is later.
- Andhra Pradesh Economic Development Board (APEDB) shall be the nodal agency for implementing EMP 4.0

2.3. MICRO INDUSTRIES/ENTERPRISES

Micro Industry/Enterprise means an Industry/enterprise in which investment and turnover are as defined by the Government of India from time to time.

2.4. SMALL INDUSTRIES/ENTERPRISES

Small Industry/Enterprise means an Industry/enterprise in which investment and turnover are as defined by the Government of India from time to time.

2.5. MEDIUM INDUSTRIES/ENTERPRISES

Medium Industry/Enterprise means an Industry/enterprise in which investment and turnover are as defined by the Government of India from time to time.

2.6. SUB LARGE, AND LARGE INDUSTRIES/ENTERPRISES

Sub Large, Large Industry/ Enterprise means an Industry/ Enterprise where fixed capital investment (including land, building, plant, machinery & equipment) falls within a band notified in policies notified by GoAP.

Industry Type	EMP 4.0
Sub-Large	Greater than INR 50 Cr and less than or equal to INR 200 Cr
Large	Greater than INR 200 Cr and less than or equal to INR 1,000 Cr

2.7. MEGA AND ULTRA MEGA INDUSTRIES/ENTERPRISES

Mega, Ultra Mega Industry/ Enterprise means an Industry/ Enterprise where fixed capital investment (including land, building, plant, machinery & equipment) falls within a band notified in policies/amendment to policies notified by GoAP.

Industry Type	EMP 4.0
Mega	Greater than INR 1,000 Cr and less than or equal to INR 5,000 Cr
Ultra Mega	Greater than INR 5,000 Cr

The Government shall extend tailor-made benefits to Mega, above Industry/enterprise and other strategic investments to suit particular investment requirements on a case-to-case basis based on the gestation period, pioneering nature, locational aspects, technology, project's importance to the state's industrial growth and its ability to generate large scale employment for people, overall economic impact, or revenues for the state.

2.8. AREA OF OPERATION

The EMP 4.0 covers the projects which commence Commercial Production on or after 30.10.2024 or are approved by the Information Technology Electronics Communication (ITE&C Dept.) Department duly operates within the geographical boundaries of the state.

2.9. COMMENCEMENT AND DURATION OF THE POLICY (POLICY OPERATING PERIOD)

The Scheme will be in operation from 30.10.2024 to 29.10.2029 (inclusive of both dates), with such further modifications as may be brought about during the operation of this scheme. This scheme shall be valid for 5 years from the date of the policy notification (as stated above), or till a new Policy is announced, whichever is later.

2.10. ELIGIBLE INDUSTRIAL ENTERPRISE

Eligible Industrial Enterprise refers to any industrial entity operated by legal entities, the Government of India/State Government, or those with State/Government of India equity, including activities listed in Annexure — 1. Enterprises that obtain Consent for Operation (CFO), commence commercial production, or secure project approval from the ITE&C Department within the policy period shall qualify for incentives under this policy.

2.11. NEW INDUSTRIAL ENTERPRISE

New Industrial Enterprise refers to an industrial entity intending to invest in the State with new machinery and obtaining Consent for Operation (CFO), commencing commercial production, or securing project approval from the ITE&C Department within the policy period.

2.12. EXPANSION / MODERNIZATION PROJECTS

Existing enterprises who set up expansion projects involving the enhancement of fixed capital investment by at least 25% or the enhancement of capacity by 25% for the same product lines or the enhancement of at least 15% of employment from the base. The base employment shall be the last three years' average employment on enterprise payrolls. Such employment created shall be in the state of AP. Such enterprises shall also have received CFO/ DCP/ Project Approval within the operating period of the policy, to be eligible for incentives under this policy.

2.13. DIVERSIFICATION PROJECTS

Existing Enterprises, making investments for a new product, part of eligible activities listed in Annexure — 1, involving Diversification with an enhancement at least of 25% of new fixed capital investment or enhancement of turnover by at least 25%, in value terms, (last three years average turnover) or enhancement of employment by at least 15% from base value (last three years average employment on company's payroll). Employment so created shall be in the state of AP.
Such enterprises shall also have received CFO/ DCP/ Project Approval within the operating period of the policy, to be eligible for incentives under this policy.

2.14. FIXED CAPITAL INVESTMENT

For the purpose of the policies, **Fixed Capital Investment** means investment in land, buildings, plant, machinery & equipment unless otherwise specified separately.

2.15. ELIGIBLE FIXED CAPITAL INVESTMENT

For Sub Large and above investments, eligible FCI means only investment in Building, Plant, Machinery and equipment. Eligible FCI does not include investments made in land costs.

The eligible FCI definition shall be used for the computation of incentives under this policy.

2.16. ORIGINAL FIXED CAPITAL INVESTMENT

Investments made on fixed capital assets before Expansion/Diversification will be treated as Original Fixed Capital Investments. While computing this Original Fixed Capital Investment, neither depreciation nor revaluation will be considered. Fixed assets include civil works, plant, machinery and equipment as per the approved project cost. This project cost will also include the cost of machinery installed within 6 months from DCP in the case of enterprises.

2.17. PRODUCTION CAPACITY OF ORIGINAL ENTERPRISE/INDUSTRY

The highest annual production/turnover achieved during the preceding three financial years before expansion/diversification will be treated as the Production Capacity of the Original Enterprise/Industry. In case where enterprise/industry is going for expansion/diversification in less than three years from DCP proportionate highest annual production/turnover achieved will be treated as the Production Capacity of the Original Enterprise/Industry.

2.18. TAX

Tax means tax paid to the Government of Andhra Pradesh Commercial Tax Department in the form of State Goods and Services Tax (SGST) on goods produced by the Industrial Enterprise.

2.19. CONSENT FOR ESTABLISHMENT (CFE)

The date of the grant of consent to start civil works by the enterprise, issued by the competent authority.

2.20. CONSENT FOR OPERATION (CFO)

The date of the grant of consent from which the enterprise is permitted to operate the unit, as provided by the competent authority.

2.21. DATE OF COMMENCEMENT OF COMMERCIAL PRODUCTION (DCP)

The date of the first sale invoice generated by the concerned enterprise in case of MSMEs or date of commencement of production as in the Industrial Entrepreneur Memorandum (IEM) part B issued by DPIIT, GoI, in case of Sub Large and above category enterprises, shall be considered as Date of Commercial Production.

While confirming the DCP of the enterprise by the concerned inspecting officer, due diligence is to be exercised by correlating the date of the first sale bill and the first power bills. In case of any dispute on DCP between the Enterprise and the Department, the State Level Committee (SLC)/ Consultative Committee for IT and Electronics Industry (CCITEI) will review it, and its decision is final.

2.22. STANDARD INVESTMENT PERIOD

Standard Investment Period refers to the actual continuous time taken by the Project from the date of receiving consent for Establishment (CFE), unless otherwise notified through any other order till the date of commercial production (DCP).

To evaluate Eligible Fixed Capital Investment, Investments made before CFE can be considered if there is any delay in obtaining CFE due to procedural delays or any other external reasons.

2.23. APPROVED PROJECT COST

Approved Project Cost means the cost of the project on different components as approved by the term loan lending institution or in case of joint financing, by the lead term loan lending institution. The Appraised Project Cost by the Scheduled Commercial Banks/Financial Institutions/Industrial Finance Corporation of India recognized by the Reserve Bank of India for sanction of term loan would be treated as the Approved Project Cost.

In respect of new self-financed projects, the Approved Project Cost needs to be certified by a Chartered Accountant, and in case of existing self- finance projects the Approved Project Cost certified by a Chartered Accountant, should be validated with the latest audited financial statements of the enterprise by the inspecting officer.

2.24. REVISED PROJECT COST

The Revised Project Cost for the self-financed Industrial Enterprises is increasing or decreasing by not more than 10%, a self-certification of the revised project cost by the enterprise shall be considered as the revised project cost. If the revised project cost is increasing or decreasing by more than 10% Project Cost will need to be certified by Chartered Accountant, and the cost of the individual elements should be validated by the latest audited financial statements of the firm, in case of existing enterprises.

2.25. VERIFIED EMPLOYMENT

Direct jobs are defined as job roles which are directly involved in the production process or related to activities beginning with the materials entering a facility and until the resultant value-added goods leave the facility. Such employment shall include on-roll, contractual and apprentice workforce of the enterprise/industry operating in the state only. This includes HR, Finance, Admin, Production, Quality and other associated roles.

Inspecting officer will ascertain the final employment created, as an average number of employees working, post DCP, over 6 months before the claim submission date, as per the employee register maintained in line with Labor laws that include employment through contractors as well as employees registered under EPF/ESI.

The employment figure thus arrived and certified by the inspecting officer shall be treated as verified employment.

2.26. AIDED ENTERPRISE/INDUSTRY

The Enterprise/Industry availing term loan from Scheduled Commercial Banks/Financial Institutions/Industrial Finance Corporation of India recognized by Reserve Bank of India, A.P. State Financial Corporation (APSFC) and Small Industrial Development Bank of India (SIDBI) for setting up the Enterprise/Industry is treated as Aided Enterprise/ Industry.

2.27. SELF-FINANCED ENTERPRISE / INDUSTRY

1. The Enterprise / Industries set up with own funds / unsecured loans without any involvement from Scheduled / Commercial Banks/ Financial Institutions/ Industrial Finance Corporation of India recognized by Reserve Bank of India / APSFC etc. is treated as Self-Financed Enterprise. However, units established first with own funds /unsecured loans and which have obtained term loan subsequently after commencement of production are treated as Self-Financed units for the purpose of sanction of incentives under the policy.

2. However, Units which have commenced production with own funds and possess in principle sanction before the DCP and availed loans from the scheduled Banks within 6 months from DCP will be treated as Aided Enterprise.

3. Further, wherever, the Enterprises / Industry is established with a term loan less than 40% of the project cost will also be considered as self-financed units for the purpose of finalization of investment. The Self- financed Entrepreneurs are eligible for availing incentives as applicable.

2.28. MONTH

Calendar Months

2.29. FINANCIAL YEAR

1st April to 31st March

2.30. First Half Year

1st April to 30th September

2.31. Second Half Year

1st October to 31st March of next year

3. Computation of Fixed Capital Investment

Fixed capital investment definition shall include investment in Land, Building, Plant, Machinery and equipment, each of which is as defined below.

3.1. Land

3.1.1. The cost of land required for the successful working of the new industrial enterprise would normally be computed by considering the value of five times the plinth area of the factory building constructed and not exceeding the approved project cost. However, in respect of Enterprises/Industries where the open land requirements would be large due to the specific nature industry, DIEPC/SLC/ CCITEI may consider allowing land over 5 times of plinth area on a case-by-case basis. However, the cost of site levelling, clearance, laying of roads, etc., will not be considered for capital cost.

3.1.2. Lease/Sale deed should be registered in the name of Enterprise / Industry / proprietor as the case may be, for sanction of any incentives / concessions. In case of other than proprietary firms' lease / sale deeds should invariably in the name of the unit/ enterprise. Lands inherited would not be considered for capital cost computation.

3.1.3. Stamp duty and Transfer duty component will not be considered while computing the Fixed Capital Investment.

3.1.4. In case of a discount on land cost on lands purchased in APIIC developed IEs/IDA/IPs, the discounted land cost will not be considered while computing the eligible Fixed Capital Investment.

3.1.5. In case of APIIC lands, incentive claims will receive conditional sanction, based on Lease/ sale agreement and subject to the mandatory submission of Lease/sale deed claims will be considered for release of sanctioned incentives.

3.2. FACTORY BUILDING

3.2.1. The value of factory building constructions will be limited to the approved project cost. The values of leased buildings will not be considered. The cost of buildings will be computed as per the APSFC-approved rates of construction/year of construction or the actual cost, whichever is lower. In case of non-availability of APSFC rates, actual cost duly certified by CA will be considered. The items of civil works which are permitted for computation towards eligible cost are:

a. Main Factory Shed.
b. Raw Material and finished products warehouse.
c. Office room and Lab/ Clean room for manufacturing.
d. Cooling water ponds.
e. Boiler shed and generator room.
f. Effluent treatment ponds, etc.
g. Overhead Tank and pump house and sump.
h. Bore-wells
i. Fencing and Gate.
j. Architect fee and supervision charges.
k. Compound wall.
l. Canteen.
m. Workers' rest room.
n. Time Office.
o. Cycle / Vehicle Stand.
p. Security Shed and
q. Toilet room and sanitary fittings.

3.2.2. The total value of items at (h) to (q) and similar items shall not exceed 10% of the total value of civil works. Total value of the civil works means items (a) to (g) only (within the approved project cost). The plinth area of the civil works based on the construction made by the Industrial Enterprise from items (a) to (g) only.

3.2.3. In case the firm leases a facility and makes new additions to the facility, the same shall be considered as part of project cost with the approval of CCITEI. The items of civil works which are permitted for computation towards eligible cost are:

a. Raw Material and finished products godowns

b. Office room and production area
c. Clean rooms for manufacturing
d. Canteen
e. Workers' rest room
f. Toilet room and sanitary fittings

The total value of items from (d) to (f) and similar items shall not exceed 10% of the total value of civil works. Total value of civil works means items (a) to (c) only (within the approved project cost).

3.3. PLANT AND MACHINERY

3.3.1. Value of plant, machinery and equipment installed and the value of tools (other than consumables) Jigs, Dies, Moulds, pollution equipment, lab equipment etc. necessary for production of approved line of activities will be taken into account, as per the notification under MSMED Act, 2006 of GoI from time to time. Leased plant and equipment are not eligible for incentives.

3.3.2. Enterprise/Industry setup with total secondhand machinery would not be eligible for any incentives/concessions. However, in case of Enterprise/Industry setup with imported machinery, value of 100% imported secondhand plant, machinery and equipment will be considered as new indigenous machinery, if it is imported directly by the Industrial Enterprise. In case of indigenous secondhand machinery purchased by the Industrial Enterprise, such value should not exceed 25% of the total value of new plant and machinery. The value of indigenous secondhand machinery will not be computed towards eligible Fixed Capital Investment for incentives.

3.3.3. To decide the percentage of secondhand machinery, market value as certified by C.A. will be considered, subject to such machinery having a minimum of six (6) years' life for MSEs and twelve (12) years for Medium Enterprise and above Industries certified by a Licensed Engineer. New Enterprise/industry setting up with a mix up of new / secondhand machinery shall be subjected to these norms.

3.3.4. Expenditure on Technical Consultancy / Feasibility study including turn-key charges will be considered towards the Fixed Capital Investment, provided they are part of the approved project cost, capitalized and certified by a C.A., but limited to 10% of the total cost of plant machinery and equipment installed.

3.3.5. The value of plant, machinery and equipment procured by new Industrial Enterprise from APSFC / A.P. State Industrial Development Corporation / Nationalized Banks pertaining to disposed off Enterprise/Industry will be considered, provided such machinery has not enjoyed any incentives under any of the earlier incentive schemes.

3.3.6. Only depreciated value of such plant, machinery and equipment, as certified by C.A. subject to such machinery having a minimum of further six
(6) years life for MSEs and twelve (12) years for Medium Enterprise and above Industries certified by a Licensed Engineer, will be taken into account for computing towards eligible Fixed Capital Investment.

3.3.7. In respect of new Industries Enterprises setup in the premises belonging to disposed off Enterprises from any Financial Institution / disposed off enterprises/industries, if the earlier Enterprises availed incentives, only new assets created with fresh investment would be eligible for incentives.

3.3.8. Value of self-fabricated machinery by the new industrial Enterprise/Industry will have to be certified by a Chartered Engineer or Engineer of the term lending institution concerned for the purpose of computing the eligible Fixed Capital Investment.

3.3.9. Diesel Generator and transformer cost are not allowed for computing towards Fixed Capital Investment.

3.4. **ITEMS NOT COMPUTABLE TOWARDS FIXED CAPITAL INVESTMENT:**

a. Working capital, raw material, stores and all consumables including spare tools, etc.

b. Value of the Motor Vehicles

c. Pre-operative expenses, advances, expenditure not supported by payment of bills wherever necessary.

d. Investment made outside the approved project cost and items not covered by approved project.

e. Fixed assets which form part of project cost but not created within 6 months from the DCP or the date of filing the claim whichever is earlier if it is an aided enterprises/industry.

f. Term loan sanctioned by the Financial Institution after the DCP.

g. In case of self-financed Enterprise/Industry, the fixed assets created after the DCP and payment made (unless they are "credit invoice" payments) after DCP, or any such value.

4. INELIGIBILITY

Enterprises with line of activity

4.1.1.other than as listed in Annexure-1 are not eligible for any incentives/concessions.

4.2. New Industrial Enterprise established with plant and machinery on lease is not eligible for incentives/concessions.

4.3. New Industrial Enterprise established with secondhand machinery is not eligible for incentives/concessions except where the cost of such machinery does not exceed 25% of the total cost of plant and machinery.

4.4. Composite industrial enterprises set up for the manufacture of an eligible item along with an ineligible item are not eligible for incentives/concessions except when the proportion of ineligible items in total production is less than 10% in value of the total turnover.

5. GENERAL GUIDELINES

a) Enterprises with the line of activity listed in Annexure 1, that are not under the MSME category are eligible for claiming incentives mentioned in the policy. MSME enterprises can avail of incentives as per Andhra Pradesh MSME & Enterprise Development Policy (4.0) 2024-29.

b) Unless otherwise explicitly specified, the claim applications filed after twelve months but before eighteen months from the specified date i.e., Date of Commencement of Operations, as defined for sanction of incentives will be treated as belated claims and are eligible for 50% of all the incentives. All claims filed after eighteen months are not eligible for any incentives unless explicitly exempted. In case any claim application is received beyond eighteen months after commencement of production, it will be considered on a case-by- case basis as per specific CCITEI instructions. The reasons could be due to not being aware of policy support, issues with the application receiving mechanism, any external factors, etc. CCITEI will examine every such request, and the decision will be taken based on the merits

c) All eligible enterprises having privately leased premises should furnish a registered lease deed for a minimum eight (8) years production period from the

DCP. In case of APIIC sheds, the lease period will be as per standard clauses of APIIC.

d) If any enterprise taking up expansion/diversification had availed of Investment Subsidy at any time, the subsidy amounts already availed would be deducted from the eligible Investment Subsidy, and the total subsidy would be limited to maximum cap. as per the limits prescribed in the policy.

e) In case of land and building purchased from an existing Industry/Enterprise that has availed incentives, the land and building cost will not be considered as part of Fixed Capital Investment. In case the original unit has not availed incentives on land and building, the cost of the land and the depreciated value of the building will be considered as part of Fixed Capital Investment. A certificate on the depreciated value of the building and quality & life of the building by a chartered Civil Engineer are to be submitted along with the application.

f) Existing enterprise setting up a new enterprise with separate identifiable investment within the same land of the existing unit with a wall separating the two units is considered as a separate project. The words 'SEPARATE IDENTIFIABLE INVESTMENT' shall mean that the enterprise should not have any production linkage with the existing manufacturing process such as using a common loading system for unloading raw materials and transporting finished products the new Enterprise/Industry should be in a separate building/ shed, should maintain separate books of accounts and the project should be appraised independently by financial institution. In case of self-financed units, Approved Project Cost will need to be certified by Chartered Accountant / Chartered Engineer, and the cost of the individual elements should be validated by the latest audited financial statements of the firm. A new project will not, however, be regarded as a "Separate Identifiable Investment" if the utilities of the existing enterprise like electricity without a separate main meter (no sub-meter) are extended to the new enterprise. Sale bills shall be maintained in the name of (unit I and unit II) and the same should be reflected in the annual financial statements separately.

g) If the legal entity is setting up separate identifiable investments through a different legal entity, that should comply with the above definition.

h) If the legal entity is setting up separate identifiable investments for backward integration or other products with the same legal entity, notifying the separate identifiable investment lies with CCITEI, irrespective of the conditions mentioned in the definition.

i) If any existing Industrial Enterprise setting up a new Industrial Enterprise with Separate Identifiable Investment for the same end product/new product at a different location in the same name it will be treated as a new Enterprise/Industry (Separate Identifiable Investment) for sanction of various incentives, even though there is no separate GST registration number and separate marketability since the Commercial Tax Department is issuing only one GST Registration number for one dealer even they have more than one Enterprises/Industries within the State. However, they must maintain separate books of accounts for each location.

j) Expansion/Diversification Enterprise /Industry should also obtain all the statutory/ required approvals.

k) The entrepreneurs should have a Permanent Account Number (PAN) and should file the Income Tax Returns annually in the name of the legal entity i.e. proprietor in the case of a sole proprietorship, firm in case of a partnership, and the name of the company in the case of Private Limited companies, etc.

5.1. CHANGE OF CONSTITUTION/MANAGEMENT/ NAME OR STYLE OF INDUSTRIAL ENTERPRISE/ INDUSTRY

5.1.1. Where an enterprise after having availed any incentive/concession as per the policy, intends to change its constitution, management, name, or style within the first six (6) years for Micro and Small enterprises and eight (8) years for Medium and above enterprises from the DCP, such entity shall seek the approval of CCITEI, as the case may be, by producing following documents -

a) Obtain the No Objection Certificate (NOC) from the financing institutions concerned in respect of aided Enterprise/industry

b) Submit and affidavit about the Management change and details of the new promoters and directors

c) Produce Certificate of incorporation from Registrar of Companies (ROC)/ Registrar of Firms/other competent authority along with Memorandum of Association & Articles of Association in the case of a company and similar documents as applicable in case of other concerns, immediately on change of constitution, change of name or style etc

d) Submit any other relevant document/details as the CCITEI may deem necessary.

5.2. RESTRICTION OF TRANSFER/SALE OF ASSETS

5.2.1. Wherever an enterprise has availed incentives/concessions under the policy such an entity shall not be allowed to transfer/sell its assets which have been considered while sanctioning the incentive/concession within the first six (6) years for MSEs and eight (8) for Medium and above enterprises from the DCP.

5.2.2. In case due to reasons beyond the control of the enterprise/promoters it becomes inevitable to wind up operations of the unit or exit the business, exemption in the above stipulation may be agreed to by the CCITEI subject to appropriate conditions including remittances of full or part of the value of the incentives availed.

5.2.3. The number of years operated after DCP shall be the criteria in this regard.

5.3. LEASE OF ENTERPRISE/INDUSTRY

5.3.1. Industrial Enterprise that has availed incentives/concessions and whose management is not able to run the Enterprise/Industry and intends to lease out to other management within the first six (6) years for MSEs and eight (8) for Medium and above enterprises from the DCP, such enterprises shall obtain the (NOC) from the financing institutions concerned in respect of aided Enterprise/Industry before seeking the approval of DIEPC or CCITEI, as the case may be.

5.3.2. All enterprises that have availed incentive/concession under the Policy shall be required to seek prior approval of DIEPC (for micro and small enterprises) or CCITEI (for Medium and above enterprises) for leasing out their facilities.

5.4. CHANGE OF LOCATION OF INDUSTRIAL ENTERPRISES SANCTIONED INCENTIVES/ CONCESSIONS

5.4.1. Any aided enterprise/industry proposing to shift their location within the district during the continuous production period shall obtain NOC from the financing institution concerned before seeking approval from

DIEPC/CCITEI.

5.4.2. Self-financed enterprises shall be required to seek approval from DIEPC/SLC.

5.4.3. In the case of micro and small enterprises, the respective DIPEC shall have the authority to grant approvals for the shift of location to any part of the state.

5.4.4. In the case of Medium and above enterprises, CCITEI shall have the authority to grant the approvals for the shift of location to any part of the state.

5.4.5. It shall be an irrevocable obligation on the part of the enterprise to provide documentary evidence/proof regarding the shifting of the location of production/operation once such shifting has been affected.

5.4.6. No enterprise that has availed incentive/concession under this policy shall be allowed to shift its production/operation outside the state during the continuous production period. Any violations to this clause, incentives released shall be recovered from the enterprise under the Revenue Recovery Act (or any act applicable)

5.5. MERGER/ AMALGAMATION OF INDUSTRIAL ENTERPRISE

5.5.1. Approval of the CCITEI is necessary for the merger/amalgamation of one or more enterprises/industries in the case at least one among such enterprises/industries has availed incentive/concession under this policy.

5.5.2. In all such cases, the application shall be submitted by the enterprise/industry to the APEDB for general industries concerned along with the necessary orders of the appropriate forum under the Companies Act, NOC from the Financing Institution, amended LI/IL/IEM and Incorporation Certificate from the Registrar of Companies (RoC).

5.5.3. The Partnership Firm shall submit NOC from their Financing Institution and Firm Registration certificate generated by the competent authority. The Proprietary concerns shall submit NOC from the Financing Institution.

5.5.4. The enterprise/industry concerned shall be liable to submit any other documents than those mentioned above, as the CCITEI may deem necessary for its consideration before providing approval for the merger/amalgamation.

5.6. CHANGE OF LINE OF ACTIVITY/INCLUSION OF ADDITIONAL LINE OF ACTIVITIES

5.6.1. If an Enterprise/Industry starts manufacturing new eligible items without any additional machinery or equipment, with the same plant & machinery, then such items shall be permitted to apply for any incentive within the period specified in the policy, from the DCP of the original product.

5.6.2. They should obtain prior approval from DIEPC in respect of Micro and small enterprises and CCITEI in respect of Medium and above enterprises before taking up production of such new items respectively to be able to apply for any incentives as applicable under the policy.

5.7. CONTINUOUS PRODUCTION

5.7.1. Continuous Production means continuous working of an Industrial Enterprise engaged in the activity of manufacture of approved lines for a minimum period of six (6) years for Micro and Small Enterprises (MSEs) and eight (8) years for Medium and above Enterprises without any break in production.

5.7.2. The Industrial Enterprises obtaining incentives should be in continuous production for six (6) years in respect of MSEs and eight (8) years in respect of Medium and above Enterprises from the DCP failing which all incentives/concessions sanctioned are liable to be canceled and the incentives/concessions already availed are liable for recovery.

5.8. BREAK IN PRODUCTION

5.8.1. If any Industrial Enterprise is not in operation/working for more than 90 days continuously, then the Industrial Enterprise shall be treated as a break in production and not in continuous working.

5.8.2. Break-in-production up to three (3) years due to reasons beyond its control such as shortage of raw materials, power and change of management, fire accidents and natural calamities, etc. may be condoned by DIEPC in case of micro and small enterprises and CCITEI in case of medium and above enterprises on merits.

5.8.3. Any break-in-production will result in extending the continuous production period requirement, which is six (6) years for MSEs and eight (8) years for Medium and above enterprises, by the period of such break. This condition is not applicable for seasonal Industrial Enterprises as defined by the Department.

6. PROCEDURE FOR CLAIMING VARIOUS APPROVALS/ INCENTIVES

6.1. The entrepreneurs who wish to avail themselves of incentives have to file separate claims for each of the incentives they are eligible for through an online incentive portal developed by the ITE&C Dept. invariably within the stipulated time frame as prescribed in this document.

6.2. The procedure for process flow was detailed as per orders issued by ITE&C Dept. in G.O.Ms.No. 4, Dated: 24.03.2025, also the procedure for the approval mechanism was detailed as per G.O.Ms.No. 8, Dated: 25.04.2025.

6.3. All claims requested shall be within one policy period only. One claim cannot be requested under more than one policy period.

6.4. All the enterprises (Manufacturing, service, and transport sector) should have professional tax registration and should pay the professional tax as per G.O.Rt.No.664 Revenue (Commercial Taxes-II) department Dt. 24.08.2020.

6.5. Any Enterprise/Industry going for expansion/diversification, should submit the claim application separately subject to conditions stipulated at Para No.2.12 and 2.13, otherwise the Enterprise/Industry will be treated as original Enterprise/Industry and the incentives/concessions will be considered from the DCP of the original Enterprise/Industry.

6.6. All enterprises must fill Common Application Form and file other corresponding forms and certificates as applicable, in the incentives portal.

6.7. To the extent possible, the incentives portal shall be integrated with APIs of concerned line departments (including but not limited to GSTIN, Energy, Excise, Commercial Tax, and Labor), to leverage features of Artificial Intelligence for self-computation of incentive/concessions, digital validation of documents submitted, fraud detection and online certification required for incentive claim submission.

6.8. The Unit holder must obtain all the necessary statutory approvals/permissions/licenses for operating the unit. In case of deemed approvals, the online system shall not permit the user who didn't obtain necessary approvals/permissions/licenses/ to apply for incentives beyond the exempted period.

6.9. The overall incentive a company can claim, through a combination of incentive packages offered to Sub large and above investments through EMP 4.0 policy shall not exceed 75% of FCI.

7. Procedure for Inspection of Enterprises

7.1. The concerned inspecting officers shall inspect the enterprises once in 6 months after the first inspection / from the date of the previous inspection in case of Micro and Small Enterprises and once a year in case of Medium and above Enterprises.

7.2. The procedure for process flow was detailed as per orders issued by ITE&C Dept. in G.O.Ms.No. 4, Dated: 24.03.2025, also the procedure for the approval mechanism was detailed as per G.O.Ms.No. 8, Dated: 25.04.2025.

7.3. The performance reports shall be obtained from the unit during the inspection in the prescribed format and the same shall be uploaded to the portal.

7.4. The claims received further shall be processed based on the earlier inspection/performance report filed earlier without inspecting the unit physically.

7.5. These performance reports shall also be utilized for analyzing the efficiency/performance of the unit and for facilitating other benefits if any.

8. Procedure for disbursement of Funds

8.1. All sanctioned claims shall be kept ready in chronological orders for disbursement. No documents shall be uploaded by the entrepreneur for disbursement, except in cases involving courts, wherein court orders shall be honored.

8.2. The Self declaration submitted at the time of submission of Common Application Form is sufficient for the disbursement of the sanctioned incentives.

8.3. The entrepreneur shall submit the account details and NOC from Term Loan Financial Institution, if the Term loan is closed or the outstanding of the Term loan is less than the Incentive amount to be disbursed.

8.4. The investment subsidy component should be credited to the active bank account, which was certified by the company, but not limited to the term loan account.

8.5. Option shall be given to edit their Account details with necessary documents, First page of the bank statement/Crossed cheque leaf/NOC from the banker. In such cases, the concerned shall verify the account number, IFS code and other details thoroughly and authorize the details received from the entrepreneurs through online and forward the same to the Executive Director for updating the same.

8.6. The disbursements are made in a bunch of cases through consolidated release proceedings generated through an online system for CCITEI sanctions observing the chronological order of such meetings held and the same shall be approved by the Concerned. The disbursement shall be made on the Integrated CFMS system based on the Proceedings generated.

8.7. In case of industrial Enterprises which have availed any bridge loans against the anticipated subsidy, the subsidy amount shall be released first to the Financial Institution which has sanctioned and released bridge loan, to discharge the liability in full against such sanction and balance amount, if any, would be released in the manner prescribed.

8.8. Wherever the Inspection officer finds any Industrial Enterprise sick, closed, change of management taken place, change of financial institution, shifting part of the machinery etc. or for any other reason not worthy of receiving subsidy till further examination, the APEDB shall not disburse the subsidy to such Enterprise/Industry and a written intimation to be given to the Industry/Enterprise by the Joint Director. In case of above two situations, the subsidy shall be disbursed only after further clearance given by the CCITEI.

8.9. However, if the unit was in continuous production for a period as prescribed i.e. 6 years for MSEs and 8 years for others from DCP and the amount is pending to be released even after such period, that amount should be released without insisting working status.

8.10. The procedure for the disbursement of the approved incentives mechanism was detailed as per G.O.Ms.No. 8, Dated: 25.04.2025.

9. Recovery of incentives sanctioned under the Schemes

Incentives/concessions granted to an industrial enterprise shall be liable to be recovered under the following circumstances:

9.1. If the incentives/concessions are obtained by the industrial enterprise by misrepresentation of essential facts or by furnishing of false information or suppression's of facts or by submission of false/fake documents etc. In addition to recovery of the incentives granted, penalty will be levied as deemed fit and disbursed amount and barred from availing incentives in future.

9.2. If the industrial enterprise goes out of production within six (6) years for MSEs and eight (8) years for Medium & above Enterprises from the DCP. However, in case where the Enterprise/Industry remains out of production for period up to 36 months due to the reasons beyond its control such as shortage of raw-materials, power and change of management, bills receivables, recession in the market, Fire Accidents and natural calamities etc., and the same is regularized by the DIEPC/CCITEI are exempted from recovery/ penalty.

9.3. If the industrial enterprise fails to furnish the prescribed statements and/ or information when it is called upon to furnish.

9.4. If the industrial enterprise effects change of management without prior approval from the financing institution concerned and the CCITEI.

9.5. If the industrial enterprise shifts a part or whole of the industrial Enterprise/Industry or lease out the whole or part of premises or the plant and machinery after receiving a part or whole of the incentives without prior approval of the DIEPC/CCITEI.

9.6. If the whole or part of the industrial enterprise is sold without the prior approval of the CCITEI.

9.7. If the industrial enterprise enters into a contract of any nature whatsoever by transferring the Management, without the prior approval of the CCITEI.

9.8. In the event of recoveries for the above reasons, they shall be recovered, treated as arrears of Land Revenue under A.P. Revenue Recovery Act, 1864, and the Executive Director will be designated as recovery officers by suitable Government Orders.

9.9. In this regard, the Inspection Officer concerned should monitor the progress of the Enterprises and submit a report to the APEDB, on a half- yearly basis.

10. Composition of Committees for Incentive Process & Sanction

10.1. ITE&C Dept. shall constitute the Consultative Committee on Information Technology and Electronics Industry (CCITEI) that is empowered to take decisions on the land allotments, incentives, recommendations for tailor-made incentives to the government and any other decision that fosters the industrial ecosystem.

10.2. The internal procedures and scrutiny committees shall be constituted separately.

10.3. Upon receiving the application, CCITEI should make a decision on the application within 60 days from the application date, following the completion of the evaluation.

10.4. ITE&C Dept shall ensure that the incentives shall be disbursed within six months from the date of the decision taken by CCITEI.

11. Furnishing of Statement of Account / Information by eligible Industrial Enterprises

11.1. Industrial Enterprises, which obtain incentives under the scheme, shall furnish certified copy of audited accounts including Balance Sheet before 30th June of the succeeding year to the disbursing agencies i.e. to the APEDB through online system.

11.2. Such statement should be furnished for a period of minimum six (6) years or eight (8) years, as per the case.

11.3. Further, industrial Enterprises should also furnish details of production, sales, employment, etc., through online system in the proforma prescribed to the APEDB concerned as an Annual Return before 30th June of the succeeding year.

11.4. In case any entrepreneur fails to submit the certified audited accounts, including the Balance Sheet or the Annual Performance Report in time, the recurring incentives in future will be stopped.

12. Interpretation

When any matter arises for interpretation on which CCITEI could not take a decision or in the case where any suggestions are made outside the scope of CCITEI about the implementation of the scheme, such matters shall be referred to the Government in ITE&C Department, Government of Andhra Pradesh for decision.

13. Penalties

Without prejudice to anything included in this paragraph, it is hereby ordained that any willful misrepresentation of facts, action/inaction on behalf of entrepreneur leading to irregular sanction/disbursement of incentives under the above policies will invite civil and criminal action as per extant laws besides recovery of the amount irregularly disbursed, if any, and debarring the unit from claiming incentives in the future.

1. Tailor Made Incentive Package for Mega and above Projects:

1.

a. Companies intending to establish Mega and the above Projects are desirous of seeking financial assistance/concessions, must present detailed representations along with project reports to the APEDB, clearly spelling out special incentives being sought with due justification before or during the initial stages of implementation.

b. The definition of Mega and above projects shall be as defined in the respective policies.

c. On receipt of such proposals, APEDB will examine the same with due diligence and forward it to the ITE&C Dept. for placing it before SIPC and SIPB for taking the decision on the matter.

2. Investment subsidy

2.1. All eligible industrial Enterprises shall submit their claims in the prescribed application form for investment subsidy within twelve months from the DCP, to the APEDB through the Online Incentive Portal.

2.2. The total Investment Subsidy including the subsidies of State Government and Central Government together will be limited to 75% of the investment of a component taken into consideration.

2.3. The subsidy shall be released to the Enterprises as per the project cost approved by the Financial Institution in case of aided enterprises and by the Chartered accountant in case of self-financed enterprises.

2.4. Approved Incentive amount shall be disbursed in equal annual installments over the disbursement period for the respective category.

2.5. Enterprises achieving DCP, within the standard investment period will be eligible for investment subsidy.

2.6. For Enterprises receiving DCP beyond standard investment period unless otherwise relaxed through a G.O, the incentive will be reduced by 0.5% for each month of delay in DCP from the standard investment period.

2.7. The quantum of Investment subsidy for different categories and sectors is tabulated below.

S.No	Category	Subsidy (as % of eligible FCI)	Disbursement period (Equal Instalments)
1	Sub-Large	20	5 years
2	Large	25	7 years
3	Mega	30	10 years

2.8. Requirement for installation of plant and machinery to be eligible for incentive claim is tabulated below

S.No	Installed plant capacity	% of Capital Subsidy Allowed
1	**Sub Large Project**	
	100% of total committed plant capacity	100%
2	**Large Project**	
	50% of total committed plant capacity	50%
	100% of total committed plant capacity	100%
3	**Mega & Ultra Mega Projects**	
	50% of total committed plant capacity	50%
	75% of total committed plant capacity	75%
	100% of total committed plant capacity	100%

2.9. Upon achieving the milestone of installed plant capacity for large and above Enterprises, as stipulated in the table above, enterprises are eligible to claim the incentive, to the extent of the corresponding eligible incentive percentage indicated.

2.10. Enterprises which claim this incentive with part commissioning (50% or 75%), can claim other incentives upon fulfilling the conditions for each of the incentive category accordingly.

3. Top Up on Employment and Value Addition

3.1. Applicability for Employment

a) Enterprises showing higher Employment to Investment (E/I) ratio will be incentivized with the employment creation subsidy.

b) Employment subsidy applies to new/ expansion/ diversification enterprises and only to the extent of new employment created from the unit for which incentive is claimed for. The employment subsidy claim can be submitted only once during the policy period.

c) All eligible Enterprises shall submit their claims in the prescribed application form, within two years from the standard Investment period to the APEDB concerned, through the Online Incentive Portal.

d) The quantum of Employment subsidy for different E/I bands is tabulated below.

Category	Employment to Investment (E/I) ratio	Eligible incentive %
Sub — Large	> 10	5% of eligible FCI
Large	> 3	
Mega	> 2	

e) The inspection officer shall consider the average annual employment created six months prior to the date of submitting the employment subsidy claim, to approve the eligible incentive percentage (as categorized in the table above) for E/I ratio stated in the claim.

f) Employment means direct employment, including full-time and contractual, on payrolls of the enterprise and through contracting agencies, falling under the definition of verified employment.

g) For computation of E/I ratio, Employment shall be in whole number, and Investment (means investment in plant, machinery and equipment) shall be in INR crores. The ratio will be rounded up to the nearest one-digit decimal.

h) For illustration E/I of 0.99 will be rounded to 1, E/I of 1.45 will be rounded to 1.5, E/I of 2.23 will be rounded to 2.2.

3.2. Applicability for Value Addition

a) Enterprises showing higher Value Addition will be incentivized with the Value Addition subsidy.

b) Value Addition Subsidy applies to new/ expansion/ diversification enterprises. The subsidy claim can be submitted only once during the policy period.

c) All eligible Enterprises shall submit their claims in the prescribed application form, within two years from the standard Investment period to the APEDB concerned, through the Online Incentive Portal.

d) The quantum of Value Addition metric for different bands is tabulated below.

Category	% of Value Addition	Eligible incentive %
Sub – Large, Large & Mega	8%	1% of eligible FCI
	10%	2.5% of eligible FCI
	15%	5% of eligible FCI

e. The inspection officer shall consider the average value addition created in the last three financial years before the date of submitting the value addition claim, to approve the eligible incentive percentage (as categorized in the table above) for % of value addition stated in the claim.

f. Value Addition refers to the additional economic value created by a company during its manufacturing process. For example, if a company sources raw materials and transforms them into finished electronics products or intermediates/subassemblies, the difference between the final product's value and the cost of raw materials procured is the value addition.

g. The percentage of Value Addition shall be calculated by subtracting the Cost of Procured Material from the Revenue from Operations, dividing the result by the Revenue from Operations, and then multiplying by 100 to express it as a percentage.

4. Power cost Subsidy

#	Category	Incentive Reimbursement	Disbursement period
1	Sub-Large	INR 1 per unit	On an annual basis for 5 years
2	Large		
3	Mega		

4.1. All eligible enterprises shall submit their claims in the prescribed application form for reimbursement of power cost within six months after completion of every financial year, i.e., by 30th of September of next financial year, along with the documents mentioned in the application to the APEDB on yearly basis through Online Incentive Portal.

4.2. This reimbursement is only on the energy consumption charges for the number of units consumed in KVAH only but not on the Contract Maximum Demand (CMD) or any other charges levied by DISCOMs.

Residential & colony power consumption and open access power is not eligible for reimbursement of power cost.

4.3. The reimbursement of power cost shall be applicable to all eligible New Industrial Enterprises and Expansion/Diversification Projects, subject to fulfillment of all other conditions stipulated.

4.4. The power cost reimbursement shall be applicable to the Industrial Enterprises, which utilize power from DISCOMs and Rural Electrical Companies (RECs). However, the power connection should be in the name of the Enterprise/ Industry.

5. Recruitment Assistance

<table>
<tr><th></th><th>Category</th><th>Incentive Reimbursement</th><th>Disbursement Period</th></tr>
<tr><td>1</td><td>Sub-Large</td><td rowspan="3">INR 4,000 per month for male & INR 6,000 per month for female (first-time employees), for 6 months (after 1 year of operations)</td><td rowspan="3">On an annual basis for 5 years</td></tr>
<tr><td>2</td><td>Large</td></tr>
<tr><td>3</td><td>Mega</td></tr>
</table>

5.1. All eligible enterprises shall submit their claims in the prescribed application form for Recruitment Assistance reimbursement of power cost within six months after completion of every financial year, i.e., by 30th of September of next financial year, along with the documents mentioned in the application to the APEDB yearly through Online Incentive Portal.

5.2. This assistance is made available only to the net employment position, not for the replacement of the existing positions. The base employment positions will be notified at the time of first incentive claim. The subsequent applications should have more employment than the base employment.

5.3. Also, those positions were completed 6 months at the time of application, only to be considered for the assistance.

6. Reimbursement of Stamp duty Reimbursement

#	Category	Incentive (% of cost incurred)	Disbursement period
1	Sub-Large	100%	One time

2	Large	100%	One time
3	Mega	100%	One time

6.1. All eligible Industrial Enterprises shall submit their claims in the prescribed application form given for reimbursement of stamp duty on purchase of land meant for industrial use, Stamp duty for lease of Land/Shed/Building within six months from DCP to the APEDB concerned, through Online Incentive Portal.

6.2. Stamp Duty shall be applicable on the purchase of land meant for Industrial use.

6.3. Stamp duty will be reimbursed only once on the land/building/shed and subsequent transactions will not be eligible for stamp duty reimbursement even in case of land purchases in open auction conducted by financial institution.

6.4. Stamp duty for lease of land/ shed/ building will be applicable to all eligible New Industrial Enterprises and Expansion/ Diversification projects, subject to fulfillment of the conditions stipulated.

6.5. The above benefits shall be admissible up to five times the plinth area of the factory building constructed within the approved project cost. However, in respect of industries where the open land requirements would be larger due to the specific nature of industry, CCITEI may consider allowing land over five times plinth area on a case-by-case basis.

7. NET SGST REIMBURSEMENT

#	Category	Incentive (% of net SGST paid)	Disbursement period
1	Sub-Large	100%	On an annual basis for 5 years
2	Large	100%	On an annual basis for 5 years
3	Mega	100%	On an annual basis for 5 years

7.1. All eligible Industrial Enterprises shall submit their claims along with a GSTR-3B and GSTR-2A (as amended by the government of India from time to time) for reimbursement of SGST within six months after completion of the financial year i.e. on or before 30th September as per check slip, to the APEBD through online incentive portal.

7.2. Net SGST accrued for 5 years from the DCP or up to realization of 100% eligible FCI, whichever is earlier, shall be reimbursed.

7.3. Net SGST accrued to the State: Net SGST means SGST amount paid through cash ledger (indicated in GSTR-3B)

7.4. The Enterprise/Industry shall obtain the GSTR-3B as proof of net SGST accrued to the state. For this purpose, regular monthly returns filed during the financial year will only be considered.

7.5. Eligible unit shall have to obtain a separate registration under GST Act for manufacturing of eligible products only. The eligible unit shall not carry out any trading activity or provision of any services not relating to eligible products from its place of business. The eligible unit shall have to obtain a separate registration, if the unit carries out trading activity or provision of any services not relating to eligible products. Incentives shall be allowed only for eligible goods manufactured in the eligible unit and not on the resale of goods.

7.6. If the eligible unit has shown its inter-State sales as intra-State sales through intermediary/ marketing network/ or any other middle man, either directly or indirectly controlled by it, to get higher incentives, then the incentives shall be liable to be cancelled with effect from the date of such contravention, and the unit shall be liable to return forthwith the incentives availed together with interest at the rate of eighteen percent per annum.

7.7. Form — A for confirming the details of return by commercial tax department shall be obtained by the entrepreneur through single desk and the same should be uploaded along with the claim application.

Annexure – 1

List of Eligible Activities Under the Andhra Pradesh Electronics Manufacturing Policy 2024-29

S. No.	Description of Goods
	Assembly/ Sub-assembly & Its Components
1	Mobile phones, Consumer electronics such as washing machines, TVs, refrigerators, laptops, printers, desktop computers, set-top boxes, ACs, water heaters/geysers, Audio equipment, Game consoles, and other consumer electronics etc.
2	Manufacturing of LED bulbs, tube lights etc.
	Electronics Components
1	Surface-mount Technology (SMT) components, including LED Chips
2	Chip Modules for Smart Cards, Radio-frequency identification (RFID) Antenna & Labels, Chip-on-Board (CoB) / System in Package
3	Passive components, including resistors, capacitors, ferrites, etc., for electronic applications
4	Electromechanical components, including transformers, inductors, coils, relays, switches, micro motors, stepper motors, Brushless Direct Current (BLDC) Motors, Connectors, Heat Sinks, Antenna, Speakers, Microphones, etc., for electronic applications
5	Magnetrons, Wave guides, Circulators, Couplers, Isolators, Filters, Magnets, Radio Frequency (RF) Components for electronic applications
6	Printed Circuit Boards (PCBs), PCB Laminates, Prepegs, Photopolymer films, PCB Printing Inks; Printed Flexible Electronics, HDI, Substrates.
7	Sensors, Transducers, Actuators and Crystals for electronic applications
8	Camera Modules, Vibrator motor/ ringer
9	Universal Serial Bus (USB) /Data Cables, High-Definition Multimedia Interface (HDMI) Cables
10	Display fabrication units including Liquid Crystal Displays (LCD), Light Emitting Diode (LED), Organic Light Emitting Diode (OLED), Micro LED etc. for electronic applications
11	Active Components: a. Discrete semiconductor devices including transistors, diodes, etc. b. Power semiconductors including Field Effect Transistors (FETs), Metal- oxide semiconductor FET (MOSFETs), Thyristors, etc.
12	Preform of Silica and Optical Fiber
13	Micro/Nano-electronic components such as Micro Electromechanical Systems (MEMS) and Nano Electromechanical Systems (NEMS)
14	Assembly, Testing, Marking and Packaging (ATMP) units
15	Mechanics (plastic and metal parts) for electronic applications. This includes plastic molding required by any products listed in this annexure
16	Compound Semiconductors such as Gallium nitride (GaN), Silicon carbide (SiC), Gallium Arsenide (GaAs), etc. and Silicon Photonics devices, Solar photovoltaic cells, solar modules and panels, Integrated Circuits, Optoelectronic components
17	Semiconductor Wafers
18	Semiconductor Integrated Chips (ICs) including Logic [Microprocessor, Microcontrollers, Digital Signal Processors (DSP), Application Specific Integrated Circuits (ASICs), etc.; Memory; Analog/ Mixed Signal ICs, etc.
19	Li-ion and Advance Chemistry Cell (ACC) Batteries (as defined by Government of India from time to time) and associated components used in manufacturing of batteries, and processing and refining the critical materials used in batteries.
20	Electronic toys, Robots (medical, industrial etc.) and its components.
21	Telecom, Networking equipment and IoT devices

22	Medical electronics goods and components as defined by Government of India from time to time
23	Automotive electronics and e-mobility and its components
24	Defense and aerospace electronics, including drones
25	Capital goods for all the goods covered under SPECS scheme of Government of India
26	Set-top boxes, IoT (Internet of thing) devices, sensors
27	e-waste processing
28	Testing and Certifying labs
29	Solar cell and module manufacturing
30	Any other activity notified under MSIPS, PLI, SPECS of Government of India. Activities that are part of upcoming schemes like "PLI for Components by MeitY", and other schemes of the Government of India to boost manufacturing under the ESDM sector.
31	Any other activity not listed in the above can be included within the purview of this policy after securing approval from CCITEI

BHASKAR KATAMNENI
SECRETARY TO GOVERNMENT